

Interest rate The price of borrowing money. The interest rate on a loan is generally stated as a percentage of the amount per year that must be repaid, in addition to the original sum of money borrowed.

Investment An injection of *capital* aimed at increasing future *production* and *profits*.

Keynesianism A school of economic thought in favor of *government* spending to pull economies out of *recession* and based on the ideas of the influential 20th-century economist John Maynard Keynes.

Laissez-faire A French term that means “let it be,” which is used to describe *markets* that are free from *government* intervention.

Macroeconomics The study of the economy as a whole, looking at factors including *interest rates*, *inflation*, *growth*, and unemployment. An alternative field of study to *microeconomics*.

Market A place, physical or virtual, where *goods* or *services* are bought and sold.

Mercantilism A doctrine that dominated economics from the 16th–18th century. It emphasized *government* control over foreign trade to maintain a positive *balance of trade* and a plentiful *supply* of money.

Microeconomics The study of specific details that together make up the economy, such as the economic behavior of households, firms, or *markets*. An alternative field of study to *macroeconomics*.

Monetary policy *Government* policies aimed at changing the money *supply* or *interest rates*, in order to stimulate or slow down the economy.

Monopoly A *market* in which there is only one firm. Free from *competition*, a firm generally produces a low output, which it then sells at a high price.